

PLASMA SPRAY PROCESSORS

WORK INSTRUCTION

Purchase / Information to External Provider

Document No.	WI-QMS-07	Version	00 / 01-Apr-2019
Title	Purchase / Information to External Provider		
Process Owner	Commercial Director	Effective Date	01-Apr-2019
ISO 9001:2015 Clauses	8.1, 8.4, 8.4.1, 8.4.2, 9.1.3, 10.2, 10.3		

1. Purpose

- Identifying an appropriate supplier (external provider).
- On-time purchase in order to meet customer requirements.
- Minimising lead time and inventory level.
- Improving supplier performance.

2. Scope

This instruction covers the identification, evaluation and approval of external providers (suppliers), their re-evaluation, and the provision of information to suppliers, for both domestic and import purchases.

3. Responsibility

- Commercial Director — Process owner; overall accountability for the purchasing process.
- DH (Department Head) – Purchase — Verifies requirement adequacy, selects suppliers, prepares purchase orders, monitors open POs and shipments.
- Partner — Reviews and approves purchase orders and supplier-related decisions.

4. Definitions / Abbreviations

- PO — Purchase Order
- DH — Department Head
- QMS — Quality Management System

5. Work Instruction – Domestic Purchase

Follow the steps below, in sequence, when raising and managing a domestic purchase order.

Step	Input	Work Instruction (Activity Description)	Output	Risk Considered	Control Method
1	Purchase indent List of approved suppliers Minimum stock level	Verify the adequacy of the requirement against the service specification / inventory level.	Input for PO	—	—
2	Service specification Quality requirements Delivery method Terms & Conditions	Select the supplier from the approved supplier list. Check the cost benefit and prepare the purchase order (PO).	Purchase order	Wrong specification communicated to supplier	Approving authority to cross-verify the PO before approval

Step	Input	Work Instruction (Activity Description)	Output	Risk Considered	Control Method
3	Non-availability of product with approved supplier	If the required product is not available with an approved supplier, obtain management approval to initiate a one-time purchase with a new supplier. Ensure the new supplier meets the Bio-Chem criteria.	Purchase order New supplier Supplier evaluation report	Price difference Delay in supply Not meeting quality criteria	Approval of PO Incoming inspection Daily review
4	Purchase order Inward register	Monitor pipeline (open) purchase orders. Update pending order status in the Purchase Order / Inward Register.	Supplier rating Closure of POs	Delay in supply Cancellation of PO in between	Weekly review

Step	Input	Work Instruction (Activity Description)	Output	Risk Considered	Control Method
5	Cancellation requirement	If any partial or full purchase order is to be cancelled, obtain management approval and evidence the communication of the cancellation to the supplier.	PO cancellation	May lose the supplier if cancellations happen frequently	Review of planning Inventory control

Note: Keep an open purchase order for repetitive-product suppliers.

6. Work Instruction – Import Purchase

Follow the steps below, in sequence, when raising and managing an import purchase order.

Step	Input	Work Instruction (Activity Description)	Output	Risk Considered	Control Method
1	Minimum stock level Re-order level Purchase indent	Verify the adequacy of the requirement before preparing the import purchase order.	Adequacy of PO	—	—
2	List of approved supplier Purchase indent	Check product availability and shipping details with the supplier. Collect quotation from the supplier at the time of new supplier selection.	Quotation from supplier, or verbal price confirmation	Non-availability of product Error in shipping detail	Review and verification by Management
3	Import documents checklist Quotation	Obtain approval from Management and prepare the (import) purchase order.	Purchase order	Wrong planning	Review by DH before releasing the PO Approval Inventory control Sales forecasting
4	Shipment detail Inspection plan	Monitor the shipment. On receipt of the product, arrange inspection. Communicate the inspection result to the supplier.	Products Inspection result	Delay in shipment	—

7. Records

#	Record	Generated / Maintained By
1	Purchase Order (PO)	DH Purchase
2	Supplier Evaluation Report	DH Purchase
3	Supplier Rating	DH Purchase
4	Inward Register	DH Purchase / Stores
5	Quotation / Price Confirmation	DH Purchase
6	Inspection Result	Quality / DH Purchase

#	Record	Generated / Maintained By
7	PO Cancellation Record	DH Purchase

8. Approval

Prepared by	Reviewed by	Approved by
Designation: DH Purchase	Designation: Partner	Designation: Partner
Date: 01-Apr-2019	Date: 01-Apr-2019	Date: 01-Apr-2019